WAVERLEY GATEWAY GUIDE

Connecting International Capital

ESWATINI

Africa

Information current as of October 2026

Dialogue | Trust | Partnership

office@lordwaverley.com
www.lordwaverley.com

WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Mbabane and the Ezulwini Valley	Administrative capital and seat of government; Ezulwini hosted the inaugural Eswatini Investment Conference in May 2025	Government services, tourism, hospitality, professional services
Matsapha / Manzini (industrial heartland)	Main industrial area and site of a E1 billion three-phase dry port expansion by Eswatini Railways, with 28 hectares released for the Manzini Arch Project in 2026	Manufacturing, logistics, retail, food processing
Royal Science and Technology Park (SEZ)	Special Economic Zone under the 2018 SEZ Act offering a 20-year corporate tax exemption, 5% thereafter, and a one-stop service centre	ICT, technology, export-oriented manufacturing
Lowveld sugar belt (Lubombo, incl. Big Bend)	Centre of the sugar industry, with Royal Eswatini Sugar Corporation planning E2.5 billion of new capex and 50–80 MW of power generation by 2029	Sugar, agro-processing, bioenergy, solar
Mkhondvo–Ngwavuma basin (south)	Site of the Mkhondvo–Ngwavuma Water Augmentation Programme, with Mpakeni Dam under construction, opening large areas to irrigated farming and agro-processing	Irrigated agriculture, cotton value chain, agro-industry
Sidvokodvo	Railway junction and planned terminus of the 146 km Eswatini Rail Link with South Africa's Transnet; a metal foundry plant was commissioned here in 2026	Rail logistics, metals and recycling, industry
Ngwenya (north-west)	Manufacturing cluster hosting Kellogg's Tolaram Eswatini expansion and a haircare plant employing around 700 staff	Food manufacturing, consumer goods

INVESTOR ENTRY ROUTES

- Eswatini Investment Promotion Authority (EIPA) provides a one-stop shop for registration, permits and licensing, with an Investor Facilitation and Aftercare Department for visas and residence permits
- Investor guarantees including 100% foreign ownership in most sectors, non-discriminatory treatment, protection against expropriation and guaranteed repatriation of funds; Eswatini is an ICSID member and introduced specialised commercial courts in 2022

- Special Economic Zones under the SEZ Act 2018, including the Royal Science and Technology Park: 20-year corporate tax exemption then 5%, duty and VAT remission on inputs, and exemption from foreign-exchange controls, with new SEZ regulations at an advanced drafting stage
- Development Approval Orders offering corporate tax of up to 10% for ten years (against a standard 27.5%) for qualifying manufacturing, mining, tourism and international-services projects, plus a 50% initial allowance on machinery and industrial buildings
- Lilangeni pegged one-to-one to the South African rand within the Common Monetary Area, with full repatriation of profits and dividends permitted
- Independent Power Producer route: around 80% of electricity is imported, and reforms are opening generation to private investors, as shown by Tsamela Solar PV reaching financial close in 2026
- Royal directive to establish at least ten 'mega companies' with annual turnover of E10 billion each, creating a channel for large-scale partnerships with government

MARKET-ENTRY OBSERVATION

Eswatini enters late 2026 on the back of solid growth and a stable monetary anchor. Real GDP grew 4.9% in 2025 according to the IMF, with year-on-year growth of 5.7% in the fourth quarter, while inflation remains low at 2.5% in July 2026, comfortably inside the 3–6% target range. The lilangeni's one-to-one peg to the rand provides currency predictability, and the Central Bank of Eswatini moved its discount rate to 7.0% in September 2026 in step with South Africa to keep the peg secure. Investor interest is translating into projects: the inaugural Eswatini Investment Conference in May 2025 secured over E37 billion (about $2.2 billion) in pledges across energy, agro-processing, manufacturing, mining, logistics and textiles, and in April–June 2026 alone five projects worth E7.4 billion (about $440 million) moved into implementation, including an $80 million anchor commitment by Texray Group at the Taiwan Innovation Industrial Park. The 2026/27 budget raises capital spending by 8.1% to E7.78 billion, focused on infrastructure, energy, water and digital systems.

Eswatini's main structural challenge is the reliance of its public finances on Southern African Customs Union (SACU) receipts, budgeted at E11.4 billion for 2026/27, alongside a rise in public debt to 44.7% of GDP at end-2025/26 and reserve cover of around two to two-and-a-half months of imports. The government is addressing this directly: over E300 million is being placed in a SACU Stabilisation Fund, the wage bill has fallen from 42% to 33% of expenditure since 2018/19 with a target below 30%, and the IMF projects debt to peak above 52% of GDP before declining to about 45% by 2031/32 under a planned consolidation path. The rand peg and the Common Monetary Area framework provide a strong external anchor. For investors, the drive to broaden the revenue base is itself the opportunity: domestic power generation, irrigated agriculture, agro-processing and export manufacturing are national priorities backed by generous incentives, a young, largely English-speaking workforce and a current account surplus of 2.4% of GDP in 2025.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Reliance on SACU receipts and fiscal consolidation	SACU transfers fund a large share of the budget, and the fiscal deficit widened to 6.1% of GDP in 2025/26, with debt projected to peak above 52% of GDP	A SACU Stabilisation Fund and IMF-endorsed consolidation are underway; investors in revenue-generating sectors support the government's diversification goals and can expect priority attention
Reserve cover and the currency peg	Gross reserves stood at about E8.8 billion, or around two months of imports, in May 2026	The one-to-one rand peg within the Common Monetary Area anchors the currency; investors can manage exposure with standard rand-based hedging
Landlocked geography and dependence on South African logistics	Most trade moves by road and rail to Durban and Maputo, and South Africa takes the majority of exports	The Matsapha dry port expansion and the 146 km Eswatini Rail Link improve connectivity and offer logistics investment opportunities
Electricity import dependence	Around 80% of electricity is imported from South Africa and Mozambique	Independent Power Producer reforms and solar and bagasse projects create openings for generation investors, with power purchase agreements now reaching financial close

Issue	Potential Impact	Possible Mitigation
Governance and political environment	Eswatini is an absolute monarchy that experienced civil unrest in 2021, and ranks 130th of 180 on Transparency International's Corruption Perceptions Index	Conduct thorough due diligence and anti-corruption compliance, and use ICSID arbitration, commercial courts and EIPA aftercare to secure investor protections
US trade preference status	AGOA, which supports textile and apparel exports of around $70 million, lapsed at the end of September 2025, and Eswatini faces a 10% US reciprocal tariff, the lowest in the region	Confirm current US preference status before planning US-bound exports, and diversify toward SACU, SADC and AfCFTA markets
Climate and agricultural exposure	Drought and erratic rainfall can affect agriculture, the base of the sugar and agro-processing sectors	The Mkhondvo–Ngwavuma water programme and irrigation investment are expanding resilient farmland and agro-industrial opportunities

INVESTOR RISK NOTE

Eswatini offers a stable, rand-anchored economy with low inflation, solid recent growth and a government actively seeking private partners. No international sanctions restrict investment, so the main considerations are commercial and governance-related. Public finances rely heavily on SACU receipts and debt has risen, but consolidation is underway with IMF engagement, a SACU Stabilisation Fund and a falling wage-bill share, and the Central Bank has shown it will act promptly to protect the peg. Eswatini is an absolute monarchy, the 2021 civil unrest and corruption perceptions remain relevant to planning, and investors should apply rigorous due diligence and anti-corruption controls while drawing on ICSID arbitration, specialised commercial courts and EIPA aftercare support. Investors in US-bound exports should confirm current AGOA status, while those focused on southern African markets benefit from a predictable currency and deep integration with South Africa.

MARKET ACCESS

Eswatini is a member of the Southern African Customs Union (SACU), the Common Monetary Area, the Southern African Development Community (SADC) and the Common Market for Eastern and Southern Africa (COMESA), and is participating in the African Continental Free Trade Area (AfCFTA), giving manufacturers duty-free access to South Africa and preferential access to wider regional markets. South Africa is the leading export destination, taking around 62% of exports, followed by Nigeria and Kenya (about 7% each) and Mozambique. Key exports include soft-drink concentrates, sugar, processed fruit and apparel. Goods move mainly through the ports of Durban and Maputo, with transit rail traffic forming most of Eswatini Railways' revenue. SACU and the US have a Trade, Investment and Development Cooperative Agreement, and Eswatini's close partnership with Taiwan, including a $300 million financing agreement in 2025 and the Taiwan Innovation Industrial Park, adds a further investment channel.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the King and Government of Eswatini (King Mswati III; Prime Minister Russell Mmiso Dlamini)	The King sets national direction, including the directive to create ten mega companies, and the Prime Minister leads Cabinet's investment and job-creation agenda	Primary reference point for strategic priorities and large-scale partnerships
Eswatini Investment Promotion Authority (EIPA)	National investment agency running the one-stop shop, investor aftercare and the Eswatini Investment Conference	Standard first point of contact for market entry and incentive guidance
Central Bank of Eswatini	Monetary authority managing the discount rate and the lilangeni's peg to the rand	Relevant for currency, banking and repatriation matters
Ministry of Finance	Leads the budget, SACU revenue management and the fiscal consolidation programme agreed with the IMF	Key counterpart on fiscal incentives and public-investment co-financing

Actor	Why It Matters	Waverley Engagement Angle
Ministry of Commerce, Industry and Trade	Oversees industrial policy, SEZ regulations, the Companies Bill and industrial estates	Relevant for manufacturing, trade and zone-based investment
Royal Science and Technology Park	Operates the Special Economic Zone and its one-stop service centre	Preferred venue for technology and export-manufacturing projects
Eswatini Water and Agricultural Development Enterprise (EWADE) and Eswatini Railways	Implement the Mkhondvo–Ngwavuma water programme and rail and dry-port expansion respectively	Essential partners for agriculture, agro-processing and logistics investment

CURRENT INTERNATIONAL BUSINESS CHANNELS

EIPA's Eswatini Investment Conference, first held in Ezulwini in May 2025, is the main platform for meeting government and major domestic companies, and the Ministry of Commerce, Industry and Trade runs the Buy Eswatini platform, the Royal Signature Expo and trade missions to Taiwan. Leading corporates such as Royal Eswatini Sugar Corporation, Kellogg's Tolaram and regional banks including Standard Bank and FNB Eswatini are useful sources of practical intelligence. The US government actively promotes Eswatini to American companies through its Commerce Department market guidance, and the IMF and the AfCFTA Secretariat are engaged in supporting fiscal, regulatory and investment-protocol reforms.

INVESTOR PROFILE BEST SUITED

Eswatini suits investors seeking a rand-anchored, low-inflation base with access to South Africa and the wider SADC and COMESA markets: renewable-energy and independent power producers responding to high import dependence; agribusiness and agro-processing investors linked to sugar and the new irrigation schemes; export manufacturers using SEZ and Development Approval Order incentives in textiles, food and light industry; and logistics investors positioned on the Durban and Maputo corridors. Mid-sized and specialist investors comfortable with a small domestic market of about 1.2 million people, and with standard governance due diligence, are best placed to benefit.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage EIPA and confirm incentive eligibility
Use the one-stop shop to assess SEZ status or a Development Approval Order, and to plan permits and investor aftercare.

STEP 2: Assess Royal Science and Technology Park and industrial-estate options
Compare SEZ terms with sites in Matsapha and Manzini, taking account of SEZ regulations now being finalised.

STEP 3: Identify partnership opportunities in priority projects
Review energy, water, sugar and logistics projects, including the Mkhondvo–Ngwavuma programme, IPP tenders and the rail and dry-port expansions.

STEP 4: Build a robust compliance and governance framework
Commission local legal and integrity due diligence, and structure contracts to benefit from ICSID arbitration and the commercial courts.

STEP 5: Plan market access and currency management
Map routes into South Africa, SADC, COMESA and AfCFTA markets, confirm current US preference status, and apply rand-based hedging where needed.